FINM3013 Introduction to Financial Derivatives

Chapter 09

Solution to Class exercises

1. C. When there is a stock split, the number of shares increases and the strike price decreases. In this case, because it is a 2 for 1 stock split, the number of shares doubles and the strike price halves.

2. A. Cash dividends unless they are unusually large have no effect on the terms of an option.

3. A. An option class is all calls on a certain stock or all puts on a certain stock.

4. C. The option payoff is 70−69 = $1. The amount received for the option is $4. The gain is $3 per option. In total 5×100 = 500 options are sold. The total gain is therefore $3 × 500 = $1,500.

5. D. If the stock price is greater than the strike price the call is in the money and the put is out of the money. If the stock price is less than the strike price the call is out of the money and the put is in the money. If the stock price is equal to the strike price both options are at the money.